

Firdaus Begam v. State of U.P. and 3 Others

Allahabad High Court · Division Bench · 18 April 2024 · 2024:AHC:67624-DB · Writ - C No. 7929 of 2024 · **Writ petition disposed of; respondents may make a final assessment strictly under the U.P. Electricity Supply Code, 2005; no coercive action on the provisional notice dated 10.10.2023 until that order**

HEADNOTE

A provisional-assessment notice for alleged theft of electricity under Section 126 of the Electricity Act, 2003 stated that if no objection was filed, no separate final-assessment order would be passed and recovery would be initiated straightaway. On 22 March 2024 the Division Bench called upon the Managing Director of Pashchimanchal Vidyut Vitran Nigam Ltd. to identify the provision authorising that course, left the consumer free to object to the notice dated 10 October 2023, and directed respondent no. 3 to proceed strictly under Clause 6.8 of the U.P. Electricity Supply Code, 2005. On 1 April 2024 the Court recorded an office memorandum of 26 March 2024 recalling recoveries where the prescribed procedure had not been followed, and counsel's statement that the notice had been withdrawn, but kept the petition pending. On 18 April 2024, noting that the consumer had not appeared despite service and that no final assessment had yet been passed, the Court disposed of the writ with liberty to make the final assessment strictly in accordance with the Supply Code, and directed that until that order no coercive action be taken to realise any amount on the provisional notice. It did not decide whether theft was made out, or whether Clause 6.8 or the theft-assessment clauses governed.

FACTUAL SUMMARY

Firdaus Begam filed Writ-C No. 7929 of 2024 against the State of U.P. and three others, challenging a notice of provisional assessment dated 10 October 2023 issued by respondent no. 3 of Pashchimanchal Vidyut Vitran Nigam Ltd. The notice was for an assessment in a case of alleged theft of electricity under Section 126 of the Electricity Act, 2003. It said that if no objection was filed, no separate final-assessment order would be passed and recovery would start at once. The orders name neither the connection nor any amount.

None appeared for her on 12 March 2024, and the writ was adjourned. On 1 April 2024 the licensee's counsel stated that the notice had been withdrawn. The Managing Director's affidavit referred to an office memorandum of 26 March 2024 requiring assessing officers to recall recoveries where the prescribed procedure had not been followed. On 18 April 2024 the licensee said she had still not appeared despite service of the provisional notice, and that no final assessment had been passed. That day was fixed for her objections and a hearing.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8

Provisional notice dispensing with a separate final assessment cannot support coercive recovery; final assessment must follow the Supply Code

QUESTION

Where a provisional-assessment notice for alleged theft says that, if no objection is filed, no separate final-assessment order will be passed and recovery will start at once, may the licensee realise the amount on that notice before a final assessment under the Supply Code?

HOLDING

The Court did not accept that course. On 22 March 2024 it recorded the stipulation, called upon the Managing Director of Pashchimanchal Vidyut Vitran Nigam Ltd. to state the provision under which it could be adopted, left the petitioner free to file objections to the notice dated 10 October 2023, and directed respondent no. 3 to proceed strictly in accordance with Clause 6.8 of the U.P. Electricity Supply Code, 2005. On 18 April 2024, recording that she had not appeared despite service of the provisional notice, that no final assessment had yet been passed, and that the day was fixed for her objections and hearing, the Court disposed of the writ with liberty to the respondents to make the final assessment strictly in accordance with the procedure prescribed under the Supply Code, and directed that until that order no coercive action be taken to realise any amount on the basis of the provisional notice. ¶ 22.3.2024: 1, 4; 1.4.2024: 3; 18.4.2024: 3-5

QUALIFIER

On 1 April 2024 counsel stated that the impugned notice had been withdrawn. The Court said it was not extending the interim order and adjourned to see what further steps the licensee would take. The disposing order does not rest on withdrawal. It leaves the licensee to pass a final assessment under the Code and restrains coercion until then. The theft allegation and the quantum were not decided.

FLAG Four-page order sheet of four sittings, all by Manoj Kumar Gupta and Kshitij Shailendra, JJ. Each sitting restarts paragraph numbering. Neutral Citation No. 2024:AHC:67624-DB is printed on the 18.4.2024 order. Clause 6.8 is named only in para 4 of the 22.3.2024 order. The 18.4.2024 order describes the notice as an assessment in a case of theft of electricity in exercise of power under Section 126 of the Electricity Act, 2003, and directs the Electricity Supply Code, 2005, without repeating Clause 6.8 and without citing Clause 8.1 or 8.2. The 22.3.2024 order does not in terms stay recovery; the 1.4.2024 order says the Court is not extending 'the interim order'. The express bar on coercive action is para 5 of the 18.4.2024 order. The 12.3.2024 order only adjourned the case because none was present for the petitioner. No precedent is cited.

PRINCIPLE TAGS

6.8-procedure-mandatory On 22 March 2024 respondent no. 3 was directed to deal with the provisional-assessment notice dated 10 October 2023 strictly under Clause 6.8, the petitioner having been left free to object. The disposing order requires the final assessment to follow the procedure prescribed under the Supply Code. The steps inside Clause 6.8 are not set out. ¶ 22.3.2024: 4; 18.4.2024: 5

no-coercive-action-until-final-assessment On 18 April 2024 the Court directed that, until the final assessment order is passed, no coercive action be taken against the petitioner to realise any amount on the basis of the provisional-assessment notice. ¶ 18.4.2024: 3, 5

provisional-assessment-objection-before-recovery The notice provided for straightaway recovery, and for no separate final-assessment order, if no objection was filed. The Court called for the provision authorising that course, permitted objections, and on disposal forbade coercive realisation on the provisional notice until a final assessment under the Supply Code. ¶ 22.3.2024: 1, 4; 18.4.2024: 5

opportunity-before-final-assessment The petitioner was left free to object to the notice of 10 October 2023. On 18 April 2024 the Court recorded that she had not appeared despite service, and that the day was fixed for her objections and a hearing, and still required a final assessment under the Supply Code rather than recovery on the provisional notice. ¶ 22.3.2024: 4; 18.4.2024: 3-5

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHICH PROVISION, IF ANY, AUTHORISES A PROVISIONAL-ASSESSMENT NOTICE TO DISPENSE WITH A SEPARATE FINAL-ASSESSMENT ORDER AND TO START RECOVERY IF NO OBJECTION IS FILED

On 22 March 2024 the Court called upon the Managing Director to apprise it of that provision. The later orders do not record an answer or hold the stipulation ultra vires in terms. ¶ 22.3.2024: 1-2; 18.4.2024: 5

NOT DECIDED — WHETHER THE NOTICE DATED 10.10.2023 STOOD WITHDRAWN

On 1 April 2024 counsel stated that it had been withdrawn, and the Court declined to extend the interim order. The order of 18 April 2024 proceeds on the footing that no final assessment has been passed and restrains coercion on that notice. It does not dispose of the writ as withdrawn. ¶ 1.4.2024: 3; 18.4.2024: 3, 5

NOT DECIDED — WHETHER THEFT OF ELECTRICITY WAS PROVED, AND THE QUANTUM OF ANY ASSESSMENT

The final order records that the notice was for a theft assessment under Section 126 and that no final assessment had yet been passed. Both questions were left to that assessment. ¶ 18.4.2024: 1, 3, 5

NOT DECIDED — WHETHER A THEFT ASSESSMENT UNDER SECTION 126 IS GOVERNED BY CLAUSE 6.8 OR BY CLAUSES 8.1 AND 8.2

Clause 6.8 is named in the order of 22 March 2024. The disposing order cites Section 126 and the Electricity Supply Code, 2005, and does not cite Clause 8.1 or 8.2 or distinguish the clauses. ¶ 22.3.2024: 4; 18.4.2024: 1, 5

NOT DECIDED — VALIDITY OF THE OFFICE MEMORANDUM DATED 26.03.2024, THE TRAINING OF THAT DAY, AND WHETHER MONITORING AND ACTION AGAINST ERRING OFFICERS WERE ADEQUATE

Taken from the Managing Director's affidavit. On 1 April 2024 the Court kept the petition pending to see what further steps would rule out such violations, and granted time for a status report. The disposing order refers to the affidavit on

monitoring of theft cases and action against erring officers, and gives no continuing direction on those measures.

¶ 1.4.2024: 1-3; 18.4.2024: 2

NOT DECIDED — WRIT-C NO. 3458 OF 2024 AND THE IDENTICAL MATTERS OF OTHER DISTRIBUTION LICENSEES

Directed to be listed with this writ. Not decided in these orders. The cause title of that writ is not stated.

¶ 22.3.2024: 3; 1.4.2024: 5

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.